FROM THE

EDITOR-IN-CHIEF

Like most finance ministers in history, Nirmala Sitharaman will be furiously engaged in striking the proper balances in Union Budget 2025. Seeding maximum growth within fiscal constraints is a difficult task. There are some 570 million Indians whose predicament may resonate with her, similarly engaged as they are in eking out their own monthly and annual budgets to ensure both ends meet. This is the famed middle class, the nucleus of the Indian story since the 1990s. As the growth path of the Indian economy oscillates, this class reels under a triple whammy: stagnating wages, a web of dismaying taxes, and spiralling prices. Based on consumption data, those at the top of the economic pyramid are doing well, and for those at the bottom, urban and rural, distress is mitigated by free food, cash handouts and other freebies. The corporates, too, cannot really complain of feeling orphaned, with their tax rates slashed considerably in 2019. It's the middle that feels the squeeze in their standard of living.

The middle class is loosely seen as those who are not rich and not poor. But they are a multi-layered entity. People Research on India's Consumer Economy (PRICE), a Delhi-based think tank, defines it as the class that has an annual household income between Rs 6 lakh and Rs 36 lakh. This week's cover story is on this section of society, which is presently estimated at 38 per cent of the population, up from 31 per cent in 2020-21. It is also India's fastest-growing segment. They earn over half of India's household income and contribute 50 per cent of total consumption. But this class has to shoulder a disproportionate share of India's income tax burden while also bleeding from a thousand cuts via indirect taxes. With this massive core of the consuming classes under pressure, the inevitable is happening: tapering consumer demand, the consequences of which radiate to all parts of the economy. There has been a perceptible slowdown in GDP growth in FY25, now scaled down to 6.4 per cent instead of the forecasted 7-8 per cent, when it should be accelerating rapidly.



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In a bleak job market, real wage growth in the urban corporate sector has slumped from 10 per cent just two years ago to 3-4 per cent now. That's when consumer price inflation was hitting hard, spiking to a 14-month high of 6.2 per cent in October. Food prices were a significant causative factor there; inflation on vegetables alone clocked over 42.2 per cent, a 57-month high. As our real-life examples confirm, the typical middle-class household faces a 30 per cent surge in expenditure. Forced to pour a larger share of their budgets into basic sustenance heads like food, rent and high interest rates, the consequences are: a substantial drop in discretionary spending, a deferment of costlier necessities, and an overall descent into cut-price living.

There is palpable evidence across sectors of the two big markers of K-shaped growth: premiumisation at the upper end, and pauperisation down below. The best marker is the ultimate middle-class dream: a new compact car. Hatchback sales saw a steep 15.5 per cent year-on-year decline across the first 11 months of 2024. This budget segment, which made up 70 per cent of passenger vehicle sales in 1999 and 47 per cent even in 2020, dipped to 26 per cent in 2024. This was also the year when the costlier SUV and crossover segment breached the 50 per cent mark. The inequities of India's growth story are glaring.

Another warning sign is the trough that fast-moving consumer goods (FMCG) majors have hit. Sales value growth here nearly halved across September 2023-24, from 10 per cent to 5.6 per cent, while volumes stayed stagnant. In this bellwether sector, often the first to reflect any negative consumer sentiment, the middle class overwhelmingly went for cheaper, unbranded items. With white goods and tech durables, where consumers tend to delay purchases or prolong replacement cycles, volume growth was flat across 60 categories, including in TVs, refrigerators and mobile phones. In real estate, unsold inventories are the order of the day in the sub-Rs 50 lakh segment, with high interest rates not helping. In contrast, the Rs 1 crore-plus segment is booming.

For six quarters after Covid-19, pent-up demand gave us happy bounce-back figures. That burst of 'revenge spending' is clearly over. For new demand to emerge, real wage growth is critical. How can Budget '25 lift the flagging middle-class spirits? Estimates vary, but those earning Rs 15 lakh and above annually pay roughly 35 per cent in direct and indirect taxes. Raising that floor and dialling down that rate overall would release millions at the lower end of this bracket from precarity and bring a massive, broad-spectrum boost in consumption. "They will have to target the entire middle class, rather than just the lower middle class," says Madan Sabnavis, chief economist at Bank of Baroda. Experts also advocate a rationalisation of GST slabs and a reduction in central excise on fuel, which has not reflected the near-40 per cent drop in crude prices since 2022. In our cover story, Managing Editor M.G. Arun and Senior Associate Editor Sonal Khetarpal capture the key strategies needed to armour-plate the very hull of India's ship as it seeks higher velocities. In the forthcoming budget, the Finance Minister has some seriously challenging choices to keep the economy on an even keel.

(Aroon Purie)